

An Act

ENROLLED HOUSE
BILL NO. 3781

By: Adams, Gise and Tedford of
the House

and

Reinhardt and Kirt of the
Senate

An Act relating to insurance; amending 36 O.S. 2021, Sections 985, 987, and 989, which relate to the Property and Casualty Competitive Loss Cost Rating Act; removing certain prohibition on determining certain rates to be competitive; allowing rate to be determined excessive based on actuarial review; requiring Insurance Commissioner to send certain objection to insurer; removing certain filing requirements; requiring certain insurer to file certain information within certain time period; providing certain requirements for certain filings to become effective; requiring certain insurer to file certain information if certain filing requires certain supervision; allowing certain insurer to request certain hearing; requiring Commissioner to publish notice of certain rate increase on Insurance Department website; allowing certain rate to be determined to be excessive; removing certain provisions allowing Commissioner to disapprove certain rate only in certain situations; allowing Commissioner to disapprove certain rates with certain notice and opportunity for hearing; allowing Commissioner to issue certain order after certain rate goes into effect; removing certain requirements that certain order not affect certain contract or policy; removing certain provision allowing Commissioner to issue certain order in certain competitive market; updating statutory language; updating statutory reference; and providing an effective date.

SUBJECT: Insurance

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 36 O.S. 2021, Section 985, is amended to read as follows:

Section 985. ~~Rate-making Standards.~~

A. A rate may not be excessive, inadequate or unfairly discriminatory.

1. ~~No rate in a competitive market may be determined to be excessive.~~ A rate in a noncompetitive market may be determined to be excessive if ~~it~~, based on actuarial review, the rate is likely to produce a profit that is unreasonably high for the insurance provided. The Insurance Commissioner shall send an objection to the insurer and shall give the insurer the opportunity to respond and provide additional supporting information prior to making a final determination that the rate is excessive.

2. A rate may not be determined to be inadequate unless:

- a. the rate is clearly insufficient to sustain projected losses, expenses and special assessments, and
- b. the rate is unreasonably low and use of the rate by the insurer has tended or, if continued, will tend to create a monopoly in the market.

3. Unfair discrimination may be determined to exist if, after allowing for practical limitations, price differentials fail to reflect equitably the differences in expected losses and expenses. A rate may not be determined to be unfairly discriminatory because different premiums result for policyholders with like loss exposures but different expense levels, or like expenses but different loss exposures, or if it averaged broadly among persons insured within a group, franchise or blanket policy or a mass-marketed plan. No rate in a competitive market shall be considered unfairly discriminatory unless it classifies risk on the basis of race, color, creed, ~~or~~ national origin, or religion.

B. In determining whether rates in a noncompetitive market are excessive, inadequate, or unfairly discriminatory, due consideration may be given to:

1. Past and prospective loss experience within and outside this state, in accordance with accepted actuarial principles;

2. Conflagration and catastrophe hazards;

3. A reasonable margin for underwriting profit and contingencies;

4. Loadings for leveling premium rates over time for dividends, savings or unabsorbed premium deposits allowed or returned by insurers to their policyholders, members or subscribers;

5. Past and prospective expenses both countrywide and those specially applicable to this state; and

6. Provisions for special assessments; and to all other relevant factors including judgment within and outside this state.

C. Risks may be grouped by classifications for the establishment of rates and minimum premiums. Classification rates may be modified to produce rates for individual risks in accordance with rating plans which establish standards for measuring variations in hazards or expense provisions, or both. Such standards may measure any differences among risks that can be demonstrated to have a probable effect upon losses or expenses. No risk classification, however, may be based on race, color, creed, national origin, or the religion of the insured.

D. The expense provisions included in the rates for use by an insurer or group of insurers may differ from those of any other insurer or group of insurers to reflect the requirements of the operating methods of the insurer or group of insurers.

E. The rates may contain provision for contingencies and an allowance permitting a reasonable profit. In determining the reasonableness of the profit, consideration shall be given to the investment income attributable to the line of insurance.

F. Risks may be classified in any way except that no risk may be classified on the basis of race, color, creed, ~~or~~ national origin, or religion of the insured.

SECTION 2. AMENDATORY 36 O.S. 2021, Section 987, is amended to read as follows:

Section 987. ~~Rate Filings.~~

A. In a competitive market, every insurer shall file with the Insurance Commissioner all rates ~~and~~, supplementary rate information ~~to be used in this state no later than thirty (30) days after the effective date; provided, that the rates and supplementary rate information need not be filed for commercial risks, which by general custom are not written according to manual rules or rating plans.~~

B. ~~In a noncompetitive market, every insurer shall file with the Commissioner all rates, supplementary rate information and supporting information at least thirty (30) days before the proposed effective date. The Commissioner may give written notice, within thirty (30) days of receipt of the filing, that the Commissioner needs additional time, not to exceed thirty (30) days from the date of the notice to consider the filing. Upon written application of the insurer, the Commissioner may authorize rates to be effective before the expiration of the waiting period or an extension thereof. A filing shall be deemed to meet the requirements of the Property and Casualty Competitive Loss Cost Rating Act and to become effective unless disapproved pursuant to this title by the Commissioner before the expiration of the waiting period or an extension thereof.~~

~~In a noncompetitive market, the filing shall be deemed in compliance with the filing provision of this section unless the Commissioner informs the insurer within ten (10) days after receipt of the filings as to what supplementary rate information or supporting information is required to complete the filing.~~

C. ~~Every authorized insurer shall file with the Commissioner, except as to rates for those lines of insurance exempted from the provisions of the Property and Casualty Competitive Loss Cost Rating Act by the Commissioner under subsections E and F of this section and except for those risks designated as special risks under Section 997 of this title, all rates, supplementary rate information and any changes and amendments which it proposes to use. An insurer may file its rates by either filing its final rates or by filing a multiplier and, if applicable, an expense constant adjustment to be applied to prospective loss costs that have been filed by an advisory organization as permitted by this title. Such loss cost~~

~~multiplier filing and expense constant filings made by insurers shall remain in effect until amended or withdrawn by the insurer. Every filing shall state the effective date.~~

~~D. Under rules as may be adopted, the Commissioner may, by written order, suspend or modify the requirement of filing as to any kind of insurance, subdivision or combination thereof, or as to classes of risks.~~

~~E. Notwithstanding any other provision of the Property and Casualty Competitive Loss Cost Rating Act, upon the written consent of the insured in a separate written document, a rate in excess of that determined in accordance with the other provisions of the Property and Casualty Competitive Loss Cost Rating Act may be used on a specific risk.~~

~~F. A filing and any supporting information required to be filed shall be open to public inspection once the filing becomes effective except information marked confidential, trade secret, or proprietary by the insurer or filer and except the filings of an advisory organization which shall be open to public inspection upon the received date of the rate, loss cost, or manual rule change. The insurer or filer shall have the burden of asserting to the Commissioner that a filing and supporting information are confidential, upon the request of the Commissioner. The Commissioner may disapprove of the insurer's request for confidential filing status, and supporting information for the rates and for the risks that are to be written in this state, and any additional information or documentation requested by the Commissioner specific to this state. All rates, supplementary information, and supporting information shall be filed thirty (30) days prior to the effective date of such rates. A filing shall be deemed to meet the requirements of this act and may become effective:~~

~~1. Upon the expiration of the waiting period unless objected to or disapproved by the Commissioner; or~~

~~2. Prior to expiration of the waiting period, upon application by the insurer that has been approved by the Commissioner.~~

~~B. In a competitive market, if the Commissioner determines, after a notice or by agreement, that an insurer's rates require closer supervision, the insurer shall file with the Commissioner all rates, supplementary information, and supporting information~~

prescribed by the Commissioner at least sixty (60) days prior to the effective date of such rates. The insurer may request a hearing before the Commissioner or an independent hearing examiner to determine the reasonableness of the Commissioner's action by written request upon the Commissioner within thirty (30) days of the notice of the Commissioner requiring closer supervision of such insurer.

C. In a noncompetitive market, every insurer shall file with the Commissioner all rates, supplementary information, and supporting information for the rates and for the risks that are to be written in this state, and any additional information or documentation requested by the Commissioner specific to this state for such market. All rates, supplementary information, and supporting information shall be filed at least sixty (60) days prior to the effective date of such rates. A filing shall be deemed to meet the requirements of this act and may become effective:

1. Upon the expiration of the waiting period unless disapproved by the Commissioner; or

2. Prior to expiration of the waiting period, upon application by the insurer that has been approved by the Commissioner.

D. If a private passenger automobile, homeowner's multi-peril, or dwelling fire policy's overall rate is increased pursuant to the provisions of this section, the Commissioner shall publish notice of such rate increase and overall percentage of such rate increase on the Insurance Department's website.

SECTION 3. AMENDATORY 36 O.S. 2021, Section 989, is amended to read as follows:

Section 989. ~~Improper Rates; Disapproval; Hearing.~~

A. ~~Basis for disapproval.~~

~~1. The Insurance Commissioner shall disapprove a rate in a competitive market only if the Commissioner finds, pursuant to subsection B of this section, that the rate is excessive, inadequate, or unfairly discriminatory pursuant to Section 985 of this title.~~

~~2. The Commissioner may disapprove a rate for use in a noncompetitive market only if the Commissioner finds, pursuant to~~

~~subsection B of this section, that the rate is excessive, inadequate or unfairly discriminatory under this subsection.~~

~~B. Procedures for disapproval.~~

1. Prior to the expiration of a waiting period ~~or an extension thereof, made pursuant to subsection B of~~ Section 987 of this title, the Commissioner may disapprove, by written order, rates filed pursuant to ~~subsection B of~~ Section 987 of this title with notice and opportunity for a hearing. The order shall specify in what respects the filing fails to meet the requirements of ~~this act~~ the Property and Casualty Competitive Loss Cost Rating Act. Any insurer whose rates are disapproved pursuant to this section shall be given a hearing upon written request made within thirty (30) days of disapproval.

2. If, at any time after the rate goes into effect, the Commissioner finds that a rate applicable to insurance ~~sold in a noncompetitive market~~ does not comply with the standards set forth in Section 985 of this title, the Commissioner may, after a hearing held upon not less than twenty (20) days' written notice, issue an order pursuant to subsection C of this section, disapproving such rate. The hearing notice shall be sent to every insurer and advisory organization that adopted the rate and shall specify the matters to be considered at the hearing. ~~The disapproval order shall not affect any contract or policy made or issued prior to the effective date set forth in the order.~~

3. ~~If, at any time, the Commissioner finds that a rate applicable to insurance sold in a competitive market is inadequate or unfairly discriminatory under paragraph 2 or 3 of subsection A of Section 985 of this title, the Commissioner may issue an order pursuant to subsection C of this section disapproving the rate. The order shall not affect any contract or policy made or issued prior to the effective date set forth in the order.~~

~~C. Order of disapproval.~~

If the Commissioner disapproves a rate pursuant to subsection B of this section, the Commissioner shall issue an order within thirty (30) days of the close of the hearing specifying in what respects the rate fails to meet the requirements of ~~this act~~ the Property and Casualty Competitive Loss Cost Rating Act. The order shall state an effective date no sooner than thirty (30) business days after the date of the order when the use of the rate shall be discontinued.

This order shall not affect any policy made before the effective date of the order.

D. ~~Appeal of orders and establishment of reserves.~~

If an order of disapproval is appealed pursuant to Section 990 of this title, the insurer may implement the disapproved rate upon notification to the court, in which case any excess of the disapproved rate over a rate previously in effect shall be placed in a reserve established by the insurer. The court shall have control over the disbursement of funds from such reserve. The funds shall be distributed as determined by the court in its final order except that de ~~minus~~ minimis refunds to policyholders shall not be required.

E. All determinations made by the Commissioner under this section shall be on the basis of findings of fact and conclusions of law.

SECTION 4. This act shall become effective July 1, 2027.

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 4th day of May, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____